

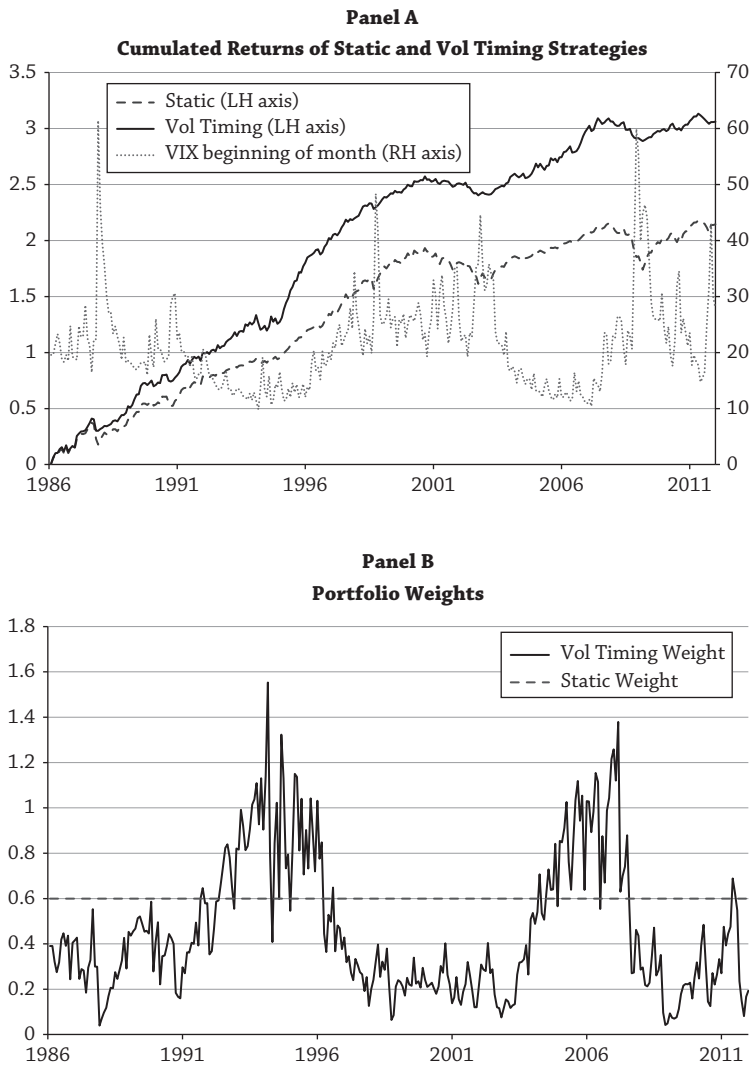


Figure 8.9

I hold the numerator equal to the mean excess return over T-bills, $\mu - r_f$, over the whole sample just as in the 60%–40% strategy. That is, the volatility timing strategy only changes volatility and holds the mean fixed. In Figure 8.9, I use the known VIX at the beginning of the current month. There are plenty of examples of volatility strategies, and important references include Fleming, Kirby, and Ostdiek (2001) and Kirby and Ostdiek (2012). The most sophisticated versions of volatility forecasts combine information from past returns using GARCH-type models, models estimated on realized volatilities, and stochastic volatility models estimated from option prices (see, e.g., Andersen et al. (2006)).